



J.P.Morgan

JPMorgan Chase & Co

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Introduction

THESIS: JPMorgan Chase is a blue-chip financial powerhouse uniquely positioned to outperform due to its diversified revenue streams, technological innovation, and resilience in varying interest rate environments. This stock is a buy because it is currently undervalued in the market.

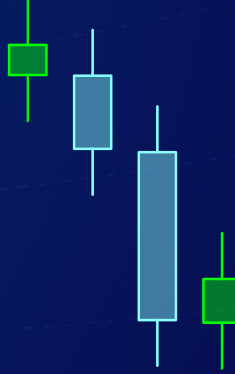


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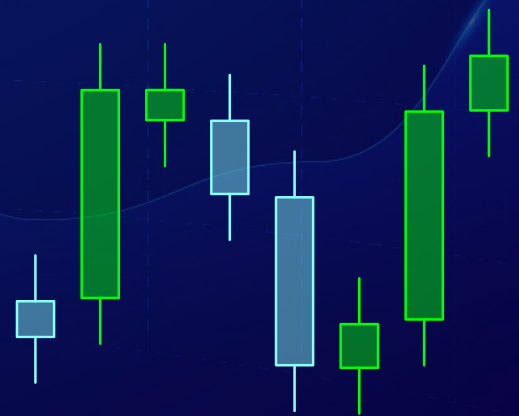
Company forecasted success
(highlight potential risks and
successes)

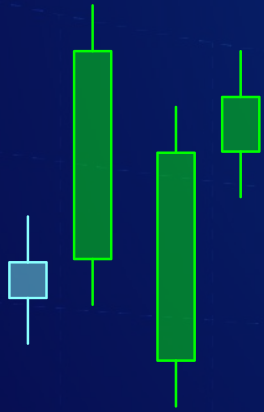
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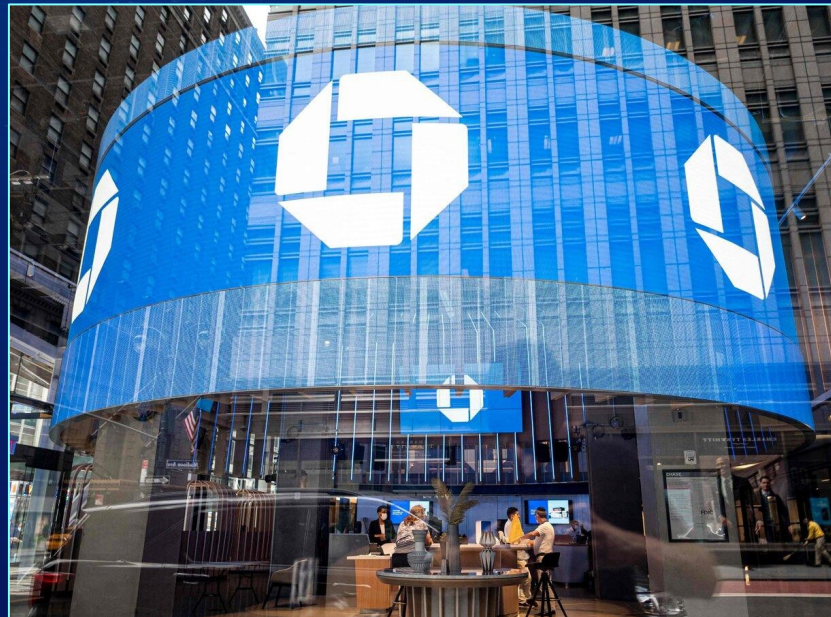
Valuation Method





01

Company Overview



Company Overview

1. **CEO:**
Jamie Dimon
2. **Headquarters:**
New York City, United States
3. **Brief History:**
Founded through mergers in 2000, with roots going back to the 18th century. Today, it's one of the world's largest financial institutions.
4. **Services:**
Investment banking, consumer banking, asset management, and commercial banking. Unlike other banks, JP Morgan stands out for its global scale, diverse services, and strong risk management.
5. **Why It's Beneficial:**
Helps consumers and businesses manage money, invest, and grow financially with trusted support.
6. **Stock Price as of 4/25/25:**
\$233.13



Industry Overview

1. Is the industry competitive?
 - The banking industry is highly competitive and JP Morgan operates in 100+ countries

Counter: JPMorgan *thrives* in this environment because they're huge, smart, tech-forward, and have deep pockets.

1. What is the company's overall market share?
 - JPMorgan Chase's overall market share is 14.31% of total assets in the US as of December 2024. This makes them the leading bank in the country based on assets.

1. Is the industry that they are in reliable or, in other words, "here to stay?"
 - The banking industry has stayed despite the Great Depression, multiple recessions, the 2008 financial crisis, and years of regulation changes

Recent News

1. Capital Expenditures.
 - a. \$17B investment in technology. Highest ever from a financial firm.
 - b. This funding supports modernization
 - i. Upgrading infrastructures,
 - ii. Integrating AI,
 - iii. Developing digital platforms to work across different teams.
2. New Management
 - a. Michele G. Buck elected to its Board of Directors
 - b. President and CEO of The Hershey Company, she has over 30 years of experience in transforming businesses and engaging organizations to accelerate profitable growth
3. New market entry.
 - a. Planning to open 500 branches over the next five years
 - b. They want to increase their presence
 - c. Improve visibility in underserved areas for customers and small businesses
4. Product(s)
 - a. Private Equity & Venture Capital Funds: 15–30%+ annually (high net worth)
 - b. ETFs ranging from 4.5% to 20%. Different preferences such as short-term, long-term, lower, and higher risk

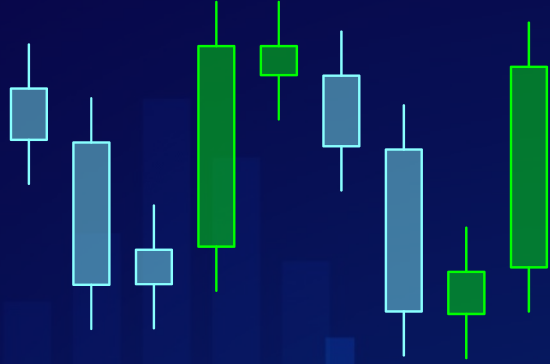
Risk Factors

- Economic Problems
A weaker economy may lead to lower demand for loans and investments, reducing the bank's overall revenue.
- Cyber Attacks
Cyber attacks could compromise customer data, damaging the bank's reputation and reducing customer trust.
- Government Rules
New or more stringent government regulations could increase operating costs or limit certain business activities.
- Interest Rates
Lower or unstable interest rates can decrease earnings from loans and increase costs related to deposits.
- Stock Market Changes
Uncertainty or instability in the stock market may negatively impact the bank's investment and wealth management operations.
- Global Conflicts
Conflicts or political tensions in other countries can affect JPMorgan's international operations and global strategy.

Competitive Advantages

- a. Cost leadership
 - i. JPMorgan **isn't the "cheapest"** option in retail banking but make up for it in competitive credit card offers and keep fees lower or waive them more easily for retail customers
- b. Differentiation in service/products:
 - i. Chase credit card, private banking and wealth management services, investment banking division,
 - ii. Kinexys is JPMorgan's blockchain-based financial infrastructure (founded in 2020)
- c. Brand recognition
 - i. Customers feel safe parking their money with JPMorgan,
 - ii. **Chase** is a household name in consumer banking
- d. Operating efficiency
 - i. **Economies of scale** (massive customer base across divisions)
 - ii. **Heavy automation** and AI for compliance, fraud detection, customer service





03

Financial Analysis

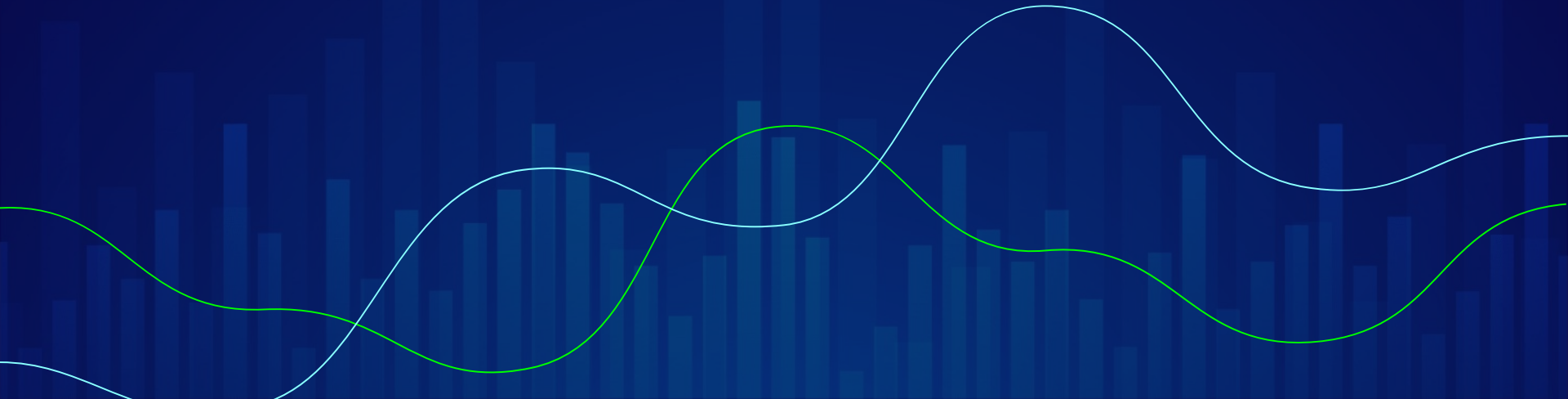
Historical stock price

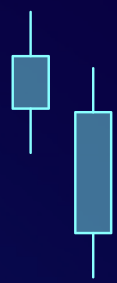
1. How does the stock price shape against the S&P or the Dow Jones?
 - a. JPM has been outperforming the S&P since 2023
 - b. Volatility (1Y) = 28.76
2. Has the company been growing in stock price for the past 3-5 years?
 - a. The stock price has grown over 164% in the past 4.99 years



02

Company's Forecasted Success





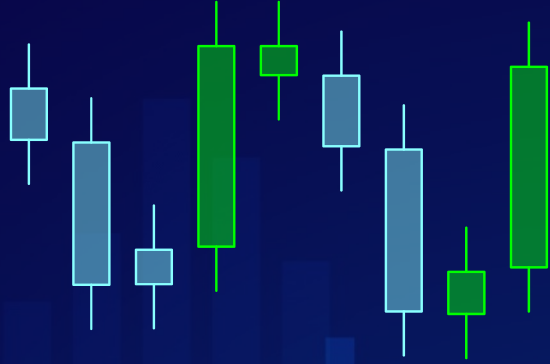
Basic Financial Analysis

1. Total revenue brought in last year = 177,556 (in millions)
 - a. They kept (net income) = 58,471 (in millions)
 - b. Profit
 - i. They have a 33% profit margin ($58,471 / 177,556$)
 - c. Profit Margin for 2023 was 31%, and for 2022 it was 29%.
 - d. The average for the industry is 27.2%
2. Expected growth for the next 3 years
 - a. 2026: \$341
 - b. 2027: \$403
 - c. 2028: \$431

Data according to CoinPrice Forecast, they integrate data science and machine learning techniques.

CoinPrice

LiteFinance



04

Valuation

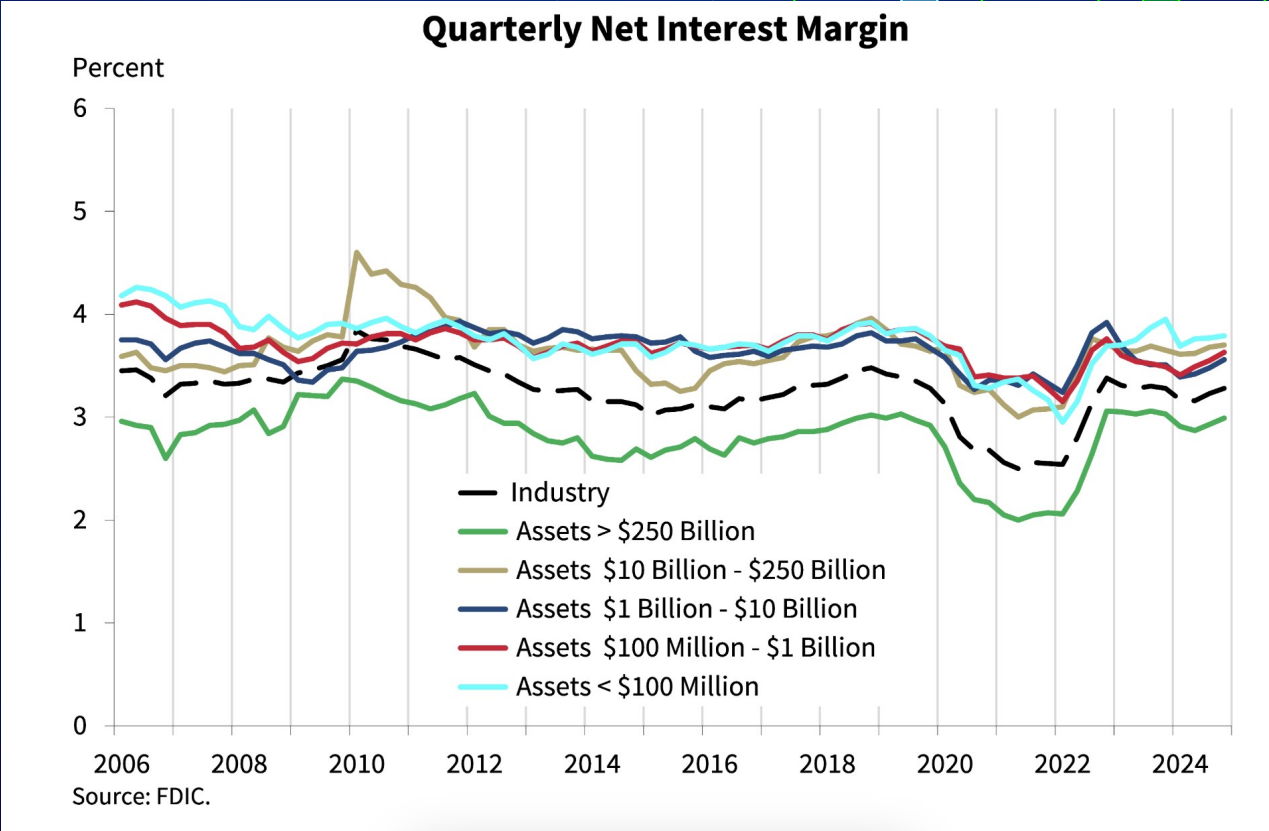
Basic Ratios

1. Price-to-earnings ratio (p/e) = **Price per share/earning per share**. It is valuable because it indicates the number of years of earnings to pay back the purchase price. In other words, it reveals how much more the investors are willing to pay compared to the earnings.
 - a. PPP = 236.20 (As of Sunday April 13th)
 - b. EPS (Net Income/Shares Outstanding)= 19.75
 - c. Calculation = $236.2 / 19.75 = 11.96$
 - d. Average for the Investments & Asset Management industry is 53.45. According to [NYU](#)

1. Market-to-book ratio = **Market value per share/book value per share**. The PB ratio is measuring the difference between share price and the net book value per share.
 - a. Market value per share = 236.2
 - b. Book value per share (Equity/Shares Outstanding) = 116.07
 - c. Calculation = 2.03
 - d. Average for the Investments & Asset Management industry is 2.53. According to [NYU](#)

Bank-Specific Ratios

1. Profitability Ratios
 - a. $\text{Net Interest Margin} = (\text{Interest Income} - \text{Interest Expense}) / \text{Total Assets}$
 - b. It measures the difference between interest income generated and interest expenses. It is basically the net benefit of lending.
 - c. **3.84%** | Average on the industry (next slide)
2. Efficiency Ratios
 - a. $\text{Efficiency} = \text{Non-Interest Expense} / \text{Revenue}$
 - b. A low ratio indicates that a bank is spending less to generate every dollar of income
 - c. Calculation = $91,797 / 177,556 = \mathbf{51.7\%}$
 - d. Average 58.7% according to the FDIC
3. Financial Strength Ratios
 - a. $\text{CET1 or Common Equity Tier 1} = \text{Common Equity Tier 1 Capital} / \text{Risk-Weighted Assets}$
 - b. A measure of a bank's financial strength by comparing its core equity capital with its total risk-weighted assets. **The bigger the better** it can absorb more loss without affecting solvency
 - c. **Result = 15.7 %**
 - d. Average in the U.S. is 12% according to the Federal Reserve Board



Philanthropy

“Giving back is often an essential part of a life plan—as well as a financial plan”

JP Morgan and Its Impact on the Community

- **Social Investment**
 - \$30 billion committed to advancing racial equity
 - Support for small businesses and minority-owned enterprises
- **Affordable Housing**
 - Financing for low-cost housing projects
- **Education & Employment**
 - Job training and workforce development programs
 - Financial education for families
- **Local Engagement**
 - Partnerships with nonprofits

Thanks!

Q&A Session

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